BofA SECURITIES

Liquid Cross Border Flows

The unwinding of JPY carry trades

29 July 2024

Currency Strategy
Global

BofA Data Analytics

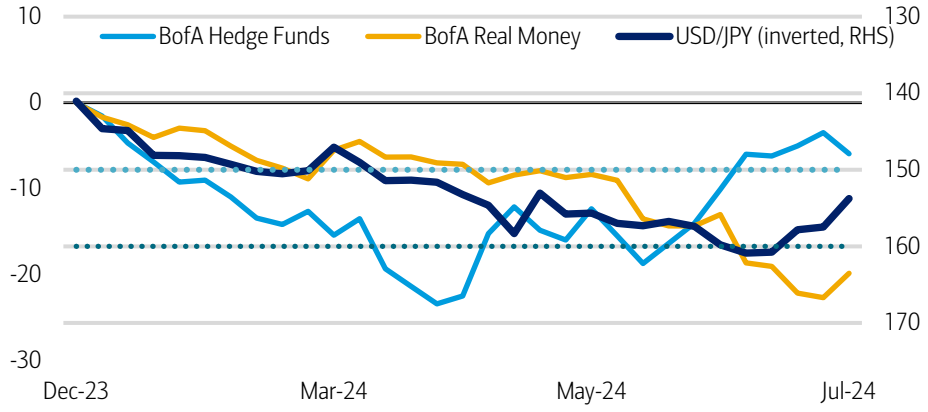
Key takeaways

- Good part of JPY shorts squeeze likely behind us. But risks remain: HF started reducing shorts at 150 but RM started selling
- Hedge Funds reduced their USD longs, buying primarily EUR and GBP. Meanwhile, investors showed reluctance to buy NOK
- The unwinding of carry trades stood out last week. Around 70% of this year's BRL buying unwound after May but just 30% of MXN

Good part of JPY shorts' squeeze likely behind us

Into the Fed and the BoJ, good part of the JPY positioning squeeze seems behind us, with some vulnerabilities remaining around Real Money: they were reluctant to sell JPY early this year, but started selling JPY as USD/JPY rose above 150 and continued as it went past 160 (Exhibit 1). By contrast, Hedge Funds had sold JPY aggressively in 1Q, but started reducing their shorts around 150. So, it was not a surprise seeing them sell JPY last week as Real Money shorts – esp. vs LatAm, see page 2 – got squeezed (Exhibit 7).

Exhibit 1: BofA investor cumulative positioning this year vs. USD/JPY
Hedge Funds had started reducing their JPY shorts above 150, which is when Real Money started selling



Source: BofA Securities, Bloomberg. We show cumulative positioning changes since the start of the year.

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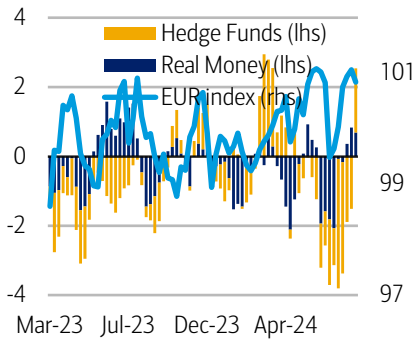
Refer to important disclosures on page 9 to 11. 12721712

Timestamp: 29 July 2024 10:28AM EDT

Hedge Funds reduced USD longs, buying EUR & GBP

Ahead of the Fed, Hedge Funds reduced their USD longs, buying primarily EUR and GBP (Exhibit 2, Exhibit 3). This follows strong EUR selling around the French elections and "strong" GBP profit-taking from February until April. Hedge Funds' positioning supports our soft USD view (see USD mid-year report 22 Jul '24), and we remain more confident in GBP than EUR in the rest of the year (see GBP mid-year report 25 Jul '24).

Exhibit 2: BofA investor 4-week EUR flows z-score) & EUR TWI
Recent EUR buying follows strong selling around French elections



Source: BofA Securities, Bloomberg

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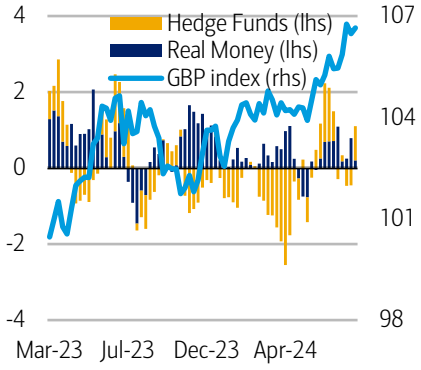
Exhibit 3: BofA investor 4-week GBP flows z-score) & GBP TWI
Hedge Funds has taken profit on GBP by April



Source: BofA Securities, Bloomberg

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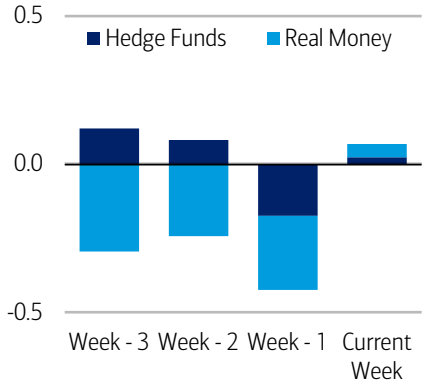
Exhibit 4: BofA weekly indexed NOK flow
NOK selling stopped but investors hesitate to buy



Source: BofA Securities

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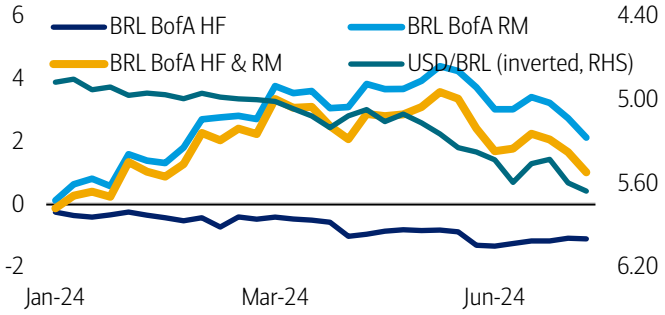
Investors still reluctant to buy NOK

Investors were reluctant to buy NOK, despite its fresh lows and the Real Money selling in the prior weeks (Exhibit 4, Exhibit 9). SEK buying was stronger, which may also reflect positioning. Either way, we find Scandi weakness overdone (Scandi FX Watch 24 Jul '24).

LatAm sold strongly as Real Money carry trades challenged

Carry trades have been a Real Money favourite this year. So, last week's strong LatAm FX selling is likely unsurprising (Exhibit 8). BRL supply particularly stood out, but MXN flows were far more modest. Around 70% of this year's BofA investor (Real Money & Hedge Funds combined) BRL buying has been unwound since the end of May, but just around a quarter of this year's MXN buying (Exhibit 5, Exhibit 6). This is in line with our preference for BRL over MXN (see also LatAm FX report 29 Jul '24).

Exhibit 5: BofA BRL cumulative indexed flows this year & USD/BRL
Around 70% of this year's BRL buying unwound after May...



Source: BofA Securities, Bloomberg

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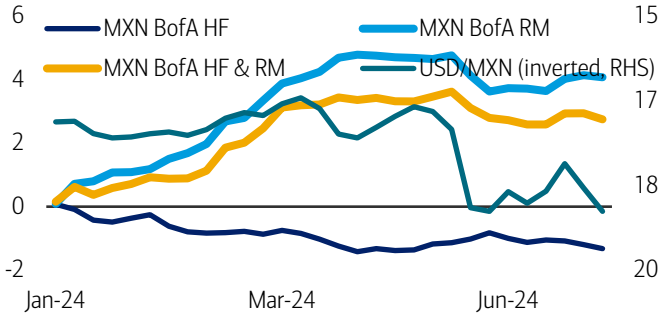
Exhibit 6: BofA MXN cumulative indexed flows this year & USD/MXN
...but just around a quarter of MXN buying



Source: BofA Securities, Bloomberg

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For more information and data files on flows and positioning, please see:
Liquid Cross Border Flows: Flows data 29 July 2024
Liquid Cross Border Flows: Positioning data 29 July 2024
Liquid Cross Border Flows: Charts and Tables 29 July 2024

Snapshot of BofA flows

Exhibit 7: Snapshot G10 FX flows (z-score)
BofA proprietary FX flows in the past four weeks

	Total				Corporate				Official				Hedge funds				Real money			
	t-3	t-2	t-1	t	t-3	t-2	t-1	t	t-3	t-2	t-1	t	t-3	t-2	t-1	t	t-3	t-2	t-1	t
USD	-0.25	-0.32	-0.40	-0.15	0.05	-0.05	-0.55	-0.24	0.61	0.30	0.22	-1.46	-1.21	-0.38	-0.48	-0.40	0.02	-0.47	0.38	1.12
EUR	-0.15	0.54	0.97	0.26	-0.42	0.10	0.39	-0.06	-0.09	0.30	0.29	0.48	0.49	0.60	0.86	1.98	0.24	0.69	1.06	-0.58
JPY	0.09	-1.12	-0.11	0.34	-0.13	-0.10	-0.02	-0.73	2.40	0.05	-0.94	-0.25	-0.08	0.47	0.64	-1.01	-0.20	-1.50	-0.25	1.37
GBP	-0.48	-0.06	-0.10	1.33	0.08	-0.68	-0.57	1.02	-0.33	0.12	0.48	-0.24	0.44	0.24	-0.44	1.68	-1.16	0.90	0.78	-0.09
CAD	-0.85	-0.99	-0.64	-1.04	-0.46	-0.26	-0.17	0.51	-0.60	0.10	-0.35	-0.18	-0.14	-2.92	-1.21	-0.05	-0.31	0.27	0.16	-1.58
AUD	-0.15	0.55	-0.44	-0.09	-0.50	0.13	0.45	-0.01	-1.70	1.28	-0.57	0.15	0.38	-0.35	-0.66	-0.21	0.35	0.65	-0.57	-0.01
NZD	-0.07	0.33	-1.35	-1.08	0.78	0.74	0.27	-0.98	-0.91	3.44	-1.66	2.50	0.73	0.15	-0.56	-1.23	-0.81	-0.67	-0.97	-0.64
CHF	0.34	0.15	0.96	0.72	0.21	0.04	-0.03	0.15	-0.64	-0.97	-0.72	-0.07	-0.24	-1.05	0.77	0.56	0.39	0.70	0.91	0.47
NOK	-0.84	-1.23	-2.18	1.36	0.76	-0.42	1.31	2.23	0.25	0.26	0.26	0.26	1.00	0.64	-1.64	0.13	-2.24	-1.78	-1.80	0.35
SEK	0.03	-0.30	0.00	2.01	-0.82	0.07	-0.26	-0.60	0.57	-1.64	3.59	4.00	1.15	0.65	1.55	1.43	0.11	-0.57	-1.26	0.29
G10-xUSD	-0.38	-0.02	0.49	0.63	-0.44	-0.12	0.20	0.18	-0.21	0.41	0.00	0.65	0.75	-0.22	0.24	1.42	-0.37	0.11	0.57	-0.06
Asia	1.26	0.57	0.29	-0.14	1.00	0.48	1.22	-0.05	-0.54	-0.92	-0.46	1.34	0.96	0.86	0.43	-0.45	0.90	0.53	-1.30	-1.06
EMEA	0.37	0.59	0.30	-0.97	-0.18	-0.70	1.12	0.57	-0.33	-0.33	0.14	-0.07	1.16	0.49	0.50	-1.23	-0.11	0.95	-0.42	-0.75
LatAm	1.19	1.18	-1.03	-1.42	0.76	0.27	0.16	0.59	-0.63	0.00	0.58	0.41	1.11	0.86	-0.16	0.04	0.55	0.92	-1.66	-2.63

Source: BofA Securities

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Exhibit 8: Snapshot of EM Flows (Z-score)
BofA proprietary FX flows in the past four weeks

	Total				Corporate				Official				Hedge funds				Real money			
	t-3	t-2	t-1	t	t-3	t-2	t-1	t	t-3	t-2	t-1	t	t-3	t-2	t-1	t	t-3	t-2	t-1	t
LatAm	1.19	1.18	-1.03	-1.42	0.76	0.27	0.16	0.59	-0.63	0.00	0.58	0.41	1.11	0.86	-0.16	0.04	0.55	0.92	-1.66	-2.63
BRL	1.70	-0.37	-0.49	-1.06	1.09	-0.14	0.44	0.30	-	0.18	-	0.15	0.71	0.30	0.74	0.20	1.20	-0.69	-1.69	-2.08
MXN	-0.53	1.57	-0.45	-0.47	-0.28	0.69	-0.84	0.29	-1.74	-0.16	0.42	0.75	0.70	0.01	-0.52	-0.59	-0.55	1.49	0.28	-0.54
CLP	1.10	1.96	-0.25	-0.21	0.32	0.10	1.06	1.05	-0.02	-0.45	0.47	0.55	0.74	0.95	-0.98	-0.93	0.69	1.95	0.09	0.12
COP	-0.11	1.45	-1.22	-1.62	-0.59	0.31	0.34	0.52	-	-	-	-0.45	-0.25	0.63	-0.21	0.48	0.28	1.13	-1.77	-2.81
PEN	-0.41	0.31	-1.06	-0.67	-0.22	0.34	-0.01	-0.37	-	-	0.73	0.09	0.72	0.80	0.22	2.16	-0.83	-0.16	-1.36	-1.84
ARS	-0.19	-0.17	-0.36	-0.21	0.07	0.15	-4.00	0.08	-	-	-	-	0.00	0.00	1.31	-0.02	-0.30	-0.29	-0.29	-0.30
Asia	1.26	0.57	0.29	-0.14	1.00	0.48	1.22	-0.05	-0.54	-0.92	-0.46	1.34	0.96	0.86	0.43	-0.45	0.90	0.53	-1.30	-1.06
CNY	0.57	1.48	0.52	1.05	0.62	0.55	0.35	-0.43	0.11	1.83	0.93	1.77	2.16	-0.31	-0.33	0.51	-0.68	-0.15	-1.16	0.46
CNH	0.50	-0.15	-0.02	-1.08	-0.07	0.10	-0.07	-0.14	-0.14	-1.82	-0.97	-1.24	0.13	1.08	2.09	0.28	0.98	-0.64	-2.19	-1.43
INR	-0.39	-0.52	-0.74	-0.05	0.18	0.11	0.64	-1.02	-0.58	-0.57	-0.48	1.31	-0.01	-0.31	-0.65	-1.25	0.02	0.07	-1.09	-0.49
KRW	1.31	0.06	0.11	0.74	0.26	0.24	0.64	0.31	-0.06	0.32	-0.08	0.24	1.83	-1.11	-1.12	1.20	1.28	0.35	-0.11	0.33
IDR	-0.04	1.01	0.45	-0.71	2.21	2.06	0.92	0.88	0.12	0.12	-1.14	0.13	-0.16	0.45	0.58	-1.11	-0.58	0.12	0.07	-0.32
MYR	1.16	0.34	0.48	-0.16	1.07	-0.19	0.51	0.42	-0.58	-	-0.56	1.11	0.07	0.11	-0.03	-0.49	0.50	0.56	0.15	-0.52
SGD	0.37	-0.26	1.79	-0.90	-0.71	-2.32	1.01	-0.04	0.02	-2.33	0.54	-0.55	0.98	1.95	0.85	-0.43	-0.43	-0.68	1.26	-0.67
TWD	1.17	1.74	0.44	-0.41	2.99	1.26	2.62	0.75	0.34	0.71	-	-0.13	-0.31	-0.05	-2.43	-1.24	-0.24	1.58	0.75	-0.08
THB	0.37	0.67	-0.62	0.64	1.54	0.27	-0.48	1.08	-0.05	-0.05	-0.39	0.00	-0.11	-0.26	0.25	0.71	-0.26	0.99	-0.57	-0.20
EMEA	0.37	0.59	0.30	-0.97	-0.18	-0.70	1.12	0.57	-0.33	-0.33	0.14	-0.07	1.16	0.49	0.50	-1.23	-0.11	0.95	-0.42	-0.75
TRY	1.41	-0.13	0.18	0.72	-0.02	0.05	-0.04	-1.18	0.95	-0.10	-0.10	1.22	3.37	-1.10	0.52	-0.36	-0.69	0.78	-0.15	2.29
HUF	1.14	0.56	0.60	0.18	0.26	0.25	-0.98	0.13	0.05	-3.97	0.08	0.02	0.14	-0.30	1.31	-1.76	1.16	0.96	0.46	1.08
PLN	0.79	0.71	-0.31	-1.35	-0.87	-0.13	0.64	1.50	-1.97	0.10	2.63	0.08	1.42	1.27	-0.16	-0.91	0.74	0.25	-0.80	-1.84
ILS	0.64	0.57	1.63	-0.04	0.96	-1.11	2.30	-0.18	-0.16	-0.24	-0.07	-0.17	0.84	1.95	1.53	-0.01	0.14	0.46	0.47	0.37
CZK	0.73	-1.21	-1.25	-0.71	0.88	-0.43	-0.62	0.33	0.21	2.24	-2.10	0.17	0.01	-1.54	-0.94	-0.51	0.89	-0.42	-0.47	-0.67
ZAR	-2.57	0.46	-0.11	-0.68	-1.38	-0.32	0.89	-0.26	0.15	0.15	0.13	0.28	-0.68	0.04	-0.27	-0.23	-2.60	0.68	-0.17	-0.70
KEY:	Z > 2				2 > Z > 1.5		1.5 > Z > 1		1 > Z > -1				-1 > Z > -1.5		-1.5 > Z > -2		Z < -2			

Source: BofA Securities; Note: The z-score is calculated as the weekly flow minus the 2-year average flow, divided by the 2-year standard deviation of flows. A positive (negative) number does not necessarily suggest buying (selling), as it is expressed relative to the 2-year average flow and depends on whether the latter is a positive or a negative number. In this context, the arrows indicate whether our flow, and not the z-score, is positive or negative, suggesting buying or selling. Weeks with no flow are marked with '-'.

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Snapshot of options and futures flows

Exhibit 9: Snapshot of FX options and futures flows (z-score)
FX options (SDR) and futures (CFTC) flows in the past four weeks

G10 FX Options

	t-3	t-2	t-1	t
USD	-0.73	-0.88	-1.15	0.12
EUR	1.18	1.09	1.91	0.14
JPY	0.46	0.08	0.14	-1.13
GBP	1.48	1.37	1.37	0.98
CAD	0.26	0.57	0.85	-0.64
AUD	1.25	0.76	0.09	-0.19
NZD	-2.05	-0.85	-0.65	-0.33
CHF	-0.79	0.49	-0.27	0.30
NOK	0.38	0.02	0.29	-0.08
SEK	-0.68	0.23	-0.14	0.71
G10-xUSD	0.28	-0.72	-0.81	0.09

EM FX Options

	t-3	t-2	t-1	t
EM	-0.03	0.45	0.33	0.51
LatAm	1.71	0.92	-0.05	0.39
BRL	2.24	-0.22	-1.21	-0.50
MXN	0.55	1.25	1.01	0.78
CLP	-0.44	0.37	-0.44	0.51
COP	0.27	-0.64	-1.12	1.07
Asia	-0.94	-0.09	0.59	0.46
CNY	-0.19	0.21	0.50	-0.31
INR	-0.52	-0.51	0.27	1.01
KRW	1.10	0.44	-0.26	0.83
SGD	-0.73	-0.17	1.40	-0.52
TWD	-3.04	-0.16	1.57	1.45
THB	-2.47	0.40	-0.57	1.15
EMEA	-0.50	0.93	0.55	0.60
TRY	-0.42	0.19	-0.17	-0.39
HUF	0.18	-2.64	0.54	-0.70
PLN	-0.48	-2.66	-0.24	-0.57
ILS	-1.27	0.21	0.65	0.61
CZK	0.03	-0.23	-0.89	0.16
ZAR	-0.11	0.22	0.41	0.19

TFF LF

	t-3	t-2	t-1	t
USD	-0.42	-0.31	-2.51	-0.75
EUR	0.30	0.59	1.88	-0.51
JPY	0.35	-0.10	2.24	1.62
GBP	1.66	-0.33	0.12	0.93
CAD	-0.85	0.11	0.15	-0.13
AUD	0.60	-0.30	-0.13	-0.01
NZD	0.59	-0.56	-0.12	1.12
CHF	-0.36	-0.34	0.18	0.14
NOK	-	-	-	-
SEK	-	-	-	-
MXN	0.17	-0.44	-0.52	0.19
BRL	-0.55	0.50	-0.14	0.37
KEY:				
	Z > 2	2 > Z > 1.5	1.5 > Z > 1	1 > Z > -1

TFF AM

	t-3	t-2	t-1	t
USD	0.45	-1.31	-0.77	-0.32
EUR	-1.08	0.79	0.68	1.19
JPY	0.04	0.72	1.01	0.93
GBP	-0.21	2.09	2.56	-0.11
CAD	0.44	0.71	-0.98	-0.46
AUD	1.85	1.69	0.16	-1.17
NZD	0.01	-0.04	-2.35	-2.68
CHF	-2.00	-0.06	-0.28	1.33
NOK	-	-	-	-
SEK	-	-	-	-
MXN	-0.47	0.49	-0.01	0.29
BRL	-0.47	-0.39	0.03	0.12
	-1 > Z > -1.5	-1.5 > Z > -2	Z < -2	

Source: BofA Global Research, Bloomberg. Note: The SDR z-score is calculated as the weekly FX options positioning change (before scaling to range of -50 to +50) minus its 2-year average value, divided by its 2-year standard deviation. The TFF z-score (for Leveraged Funds and Asset Managers respectively) is calculated as the weekly change in net longs (longs - shorts) / open interest (before scaling to range of -50 to +50) minus its 2-year average value, divided by its 2-year standard deviation. The cut-off for the SDR data is Friday NY close but Tuesday for the CFTC data.

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G10 FX positioning scorecard

Exhibit 10: G10 FX Positioning Scorecard
50 (-50) represents a max long (short) positioning relative to history

Currency	BofA HF	BofA RM	FXRS	COT	TFF LF	TFF AM	Options positioning	Aggregate Positioning Signal	Change in positioning	MAA Breadth	
AUD	16	26	48	-4	-1	-15	48	20	↓	1	↔
NOK	33	-20	50	-	-	-	9	18	↑	-9	↓↓
GBP	10	33	2	50	26	1	5	13	↑	7	↑↑
USD	42	4	-1	7	4	-11	12	8	↓	1	↔
EUR	-11	0	-17	5	1	36	24	5	↑	4	↑
JPY	10	-3	-6	-29	-21	-17	-24	-10	↑	4	↑
SEK	33	-21	-30	-	-	-	-48	-17	↑	-5	↓
NZD	-41	-37	-31	5	21	-18	-16	-20	↓	-7	↓↓
CHF	-14	-10	-	-43	-24	-29	-29	-21	↑	7	↑↑
CAD	-32	-6	0	-50	-25	-50	-23	-23	↓	-3	↔

Source: BofA Global Research, Bloomberg, EPFR Global; See appendix for details; HF: Hedge Fund, RM Real Money, FXRS: FX and Rates Sentiment Survey
Note: Aggregate positioning is the unweighted average of BofA HF, BofA RM, FXRS, TFF LF, TFF AM and FX options.

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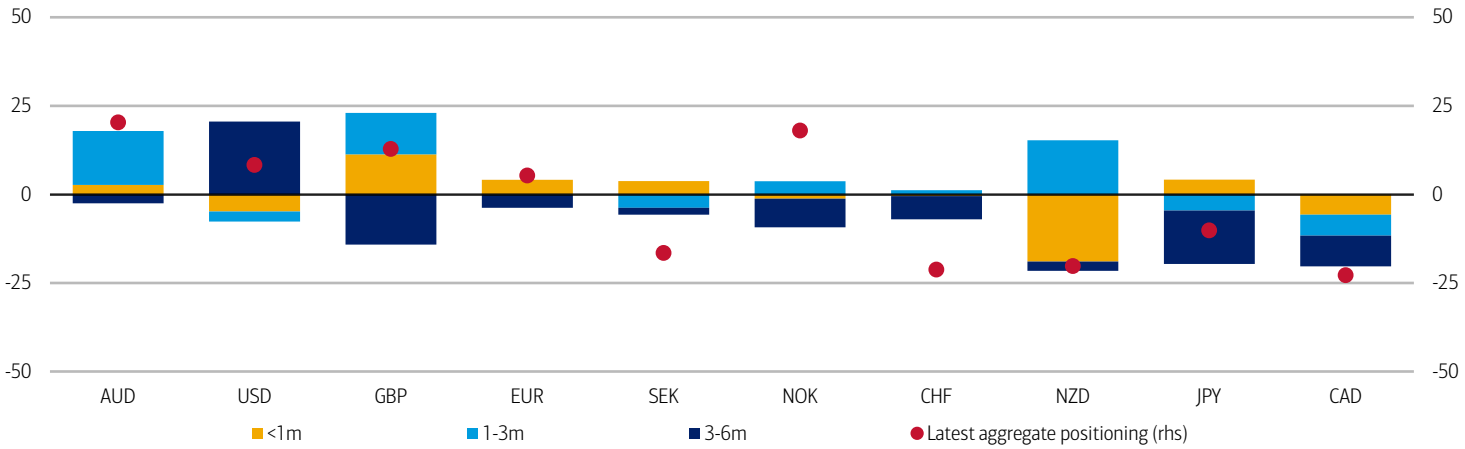
Exhibit 11: Changes in aggregate G10 FX positioning in past 6 months
Flows in past 6 months supported AUD, USD, GBP versus CAD, JPY, NZD



Source: BofA Global Research, Bloomberg. Note: Currencies ranking based on aggregate positioning changes in past 6 months. <1m: positioning changes over past month (4 weeks); 1-3m: positioning changes between 1 month (4 weeks) and 3 months (13 weeks) ago; 3-6m: positioning changes between 3 months (13 weeks) and 6 months (26 weeks) ago. Please see appendix for more details.

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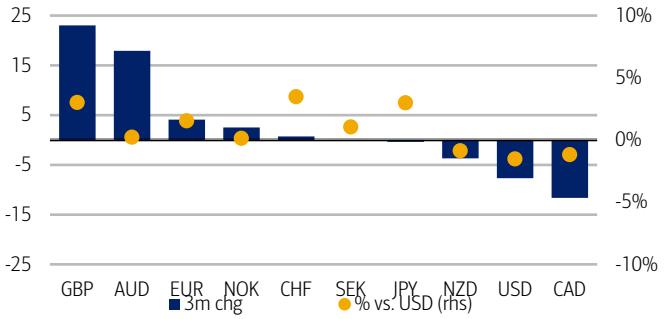
Exhibit 12: Changes in aggregate FX positioning changes vs. price action
Recent positioning changes not in line with price action in many instances



Source: BofA Securities, Bloomberg. Note: Currencies ranked on the aggregate positioning change in past 3 months. Currency returns are vs USD. We use DXY for USD.

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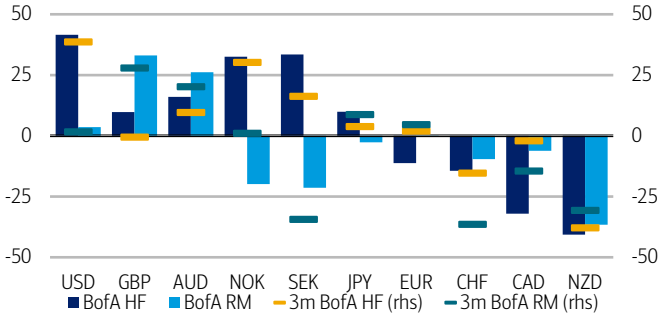
Exhibit 13: Latest BofA investor G10 FX positioning
Hedge Funds still very short EUR-USD while Real Money is neutral



Source: BofA Securities, Bloomberg. Note: Currencies ranked on the equally-weighted average of BofA HF and BofA RM positioning levels. 3m HF: BofA Hedge Funds positioning 3 months (13 weeks) ago. 3m RM: BofA Real Money positioning 3 months ago

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EM FX positioning scorecard

Exhibit 14: EM FX Positioning Scorecard
50 (-50) represents a max long (short) positioning relative to history

Currency	BofA HF	BofA RM	FXRS	COT	TFF LF	TFF AM	Options positioning	Aggregate Positioning Signal	Change in positioning	MAA trend
MYR	29	5	-	-	-	-	-	17	↓	↓
HUF	25	26	-	-	-	-	-6	15	↓	↓
INR	28	19	-	-	-	-	-5	14	↑	↑
TRY	-19	50	-	-	-	-	6	12	↑	↑
ILS	23	14	-	-	-	-	-2	12	↑	↓
CZK	16	29	-	-	-	-	-11	11	↓	↑
MXN	-40	33	-	21	7	41	2	9	↑	↑
CNH	-9	20	-	-	-	-	-	5	↓	↔
PLN	5	21	-	-	-	-	-10	5	↓	↓
CLP	13	23	-	-	-	-	-28	3	↑	↑
ARS	-18	12	-	-	-	-	-	-3	↓	↑
IDR	14	-6	-	-	-	-	-37	-10	↓	↓
BRL	-37	33	-	-27	-4	-31	-15	-11	↓	↑
THB	-22	10	-	-	-	-	-20	-11	↑	↓
COP	24	-28	-	-	-	-	-29	-11	↑	↑
PEN	-42	16	-	-	-	-	-	-13	↑	↓
CNY	2	-31	-	-	-	-	-12	-14	↑	↑
SGD	-25	-34	-	-	-	-	-6	-21	↓	↓
KRW	-28	-42	-	-	-	-	0	-23	↑	↑
ZAR	-33	-12	-	-	-	-	-36	-27	↓	↓
TWD	-41	-9	-	-	-	-	-33	-28	↑	↑

Source: BofA Global Research, Bloomberg, EPFR Global; See appendix for details; HF: Hedge Fund, RM Real Money, FXRS: FX and Rates Sentiment Survey
Note: Aggregate positioning is the unweighted average of BofA HF, BofA RM, FXRS, TFF LF, TFF AM and FX options.

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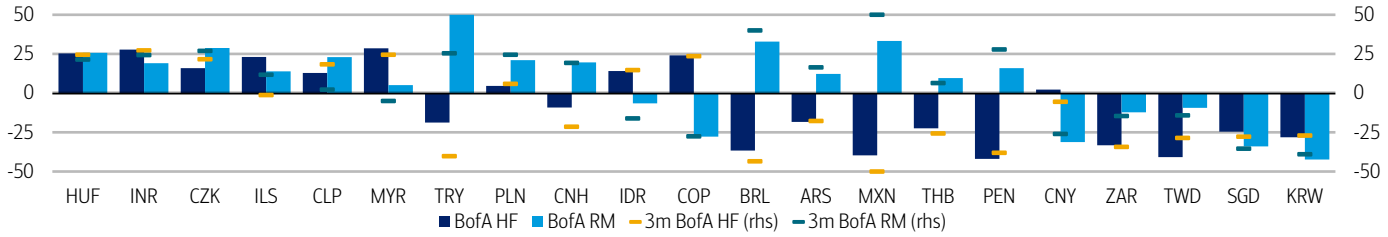
Exhibit 15: BofA investor EM FX positioning
BofA investors long HUF, INR, CZK, and short KRW, SGD, TWD



Source: BofA Securities, Bloomberg. Note: Currencies ranked on the equally-weighted average of BofA HF and BofA RM positioning levels. 3m HF: BofA Hedge Funds positioning 3 months (13 weeks) ago. 3m RM: BofA Real Money positioning 3 months ago

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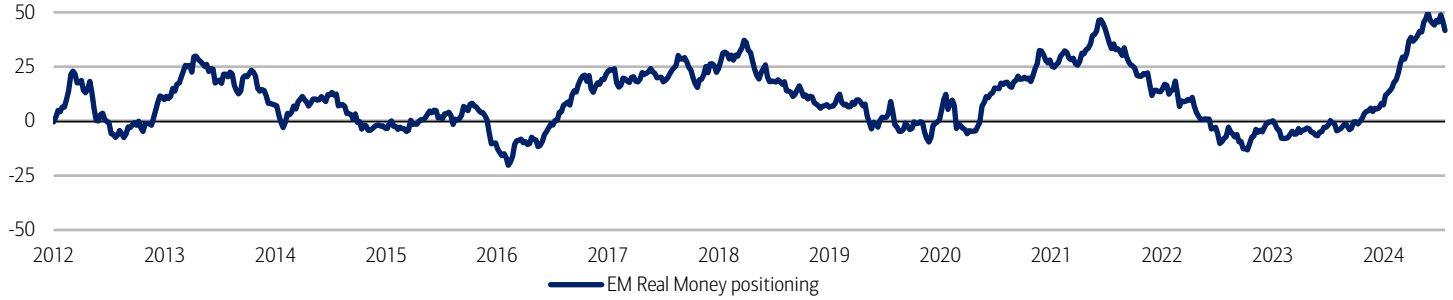
Exhibit 16: EM Real Money Positioning
+50 (-50) represents a max long (short) positioning relative to history



Source: BofA Securities
Note: Weights from GBI-EM Global Diversified index and Real Money positioning for selected EM countries used in calculations. Index scaled between +50 and -50.

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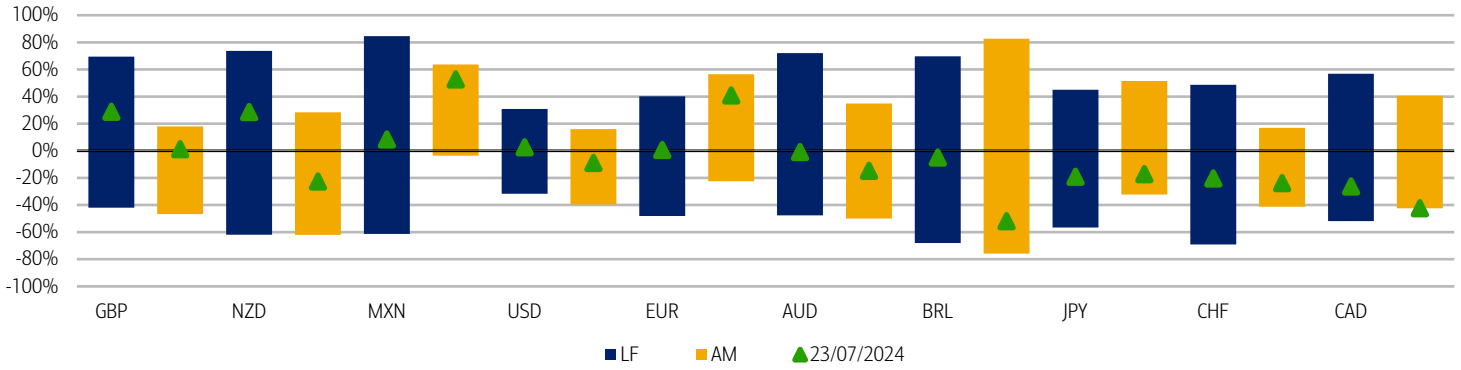
CFTC, SDR, and EPFR

Exhibit 17: Leveraged Funds and Asset Managers net speculative position as % of open interest
JPY, CAD and, to some extent, CHF shorts stand out but mostly balanced positions in other cases, according to futures data



Source: BofA Global Research, Bloomberg. Note: Leveraged Funds (LF) and Asset Managers (AM) data since Aug-2006. Currencies ranked by latest LF positioning

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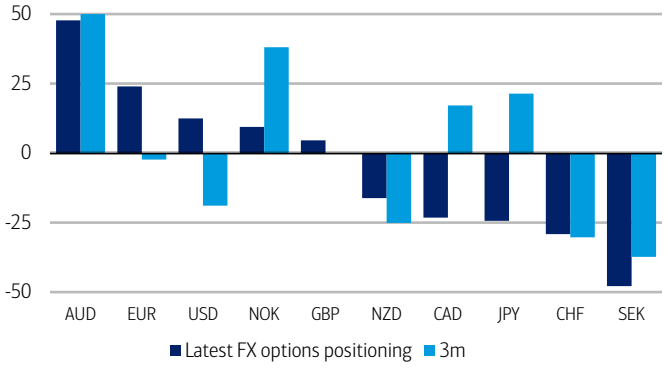
Exhibit 18: G10 FX options positioning
Options market long AUD, EUR, and short SEK, CHF, CAD, and JPY



Source: BofA Global Research, Bloomberg. 3m: FX options positioning 3 months (13 weeks) ago.

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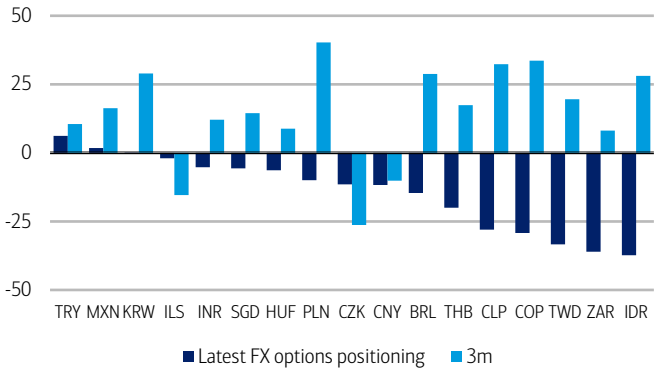
Exhibit 19: EM FX options positioning
Options market is short EM FX, particularly IDR, ZAR, TDW, COP and CLP



Source: BofA Global Research, Bloomberg. 3m: FX options positioning 3 months (13 weeks) ago.

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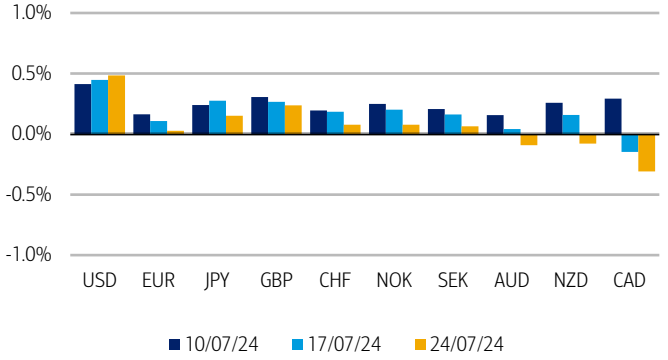
Exhibit 20: G10 Equity flow (Foreign domiciled investors)
4-week flow as % AUM



Source: BofA Global Research, EPFR. AUM: Assets Under Management

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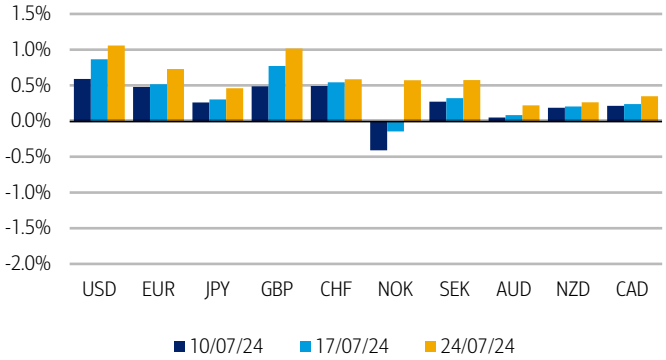
Exhibit 21: G10 Fixed Income flow (Foreign domiciled investors)
4-week flow as % AUM



Source: BofA Global Research, EPFR. AUM: Assets Under Management

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Data appendix

BofA Securities proprietary FX flows represent the aggregated net base notional of spot and forward trades for sales-only data on a firm-wide basis for the 30 major currencies we track. We filter data by client type, categorized as Hedge Funds, Corporates, Real Money and Officials. We exclude interbank flows, which would include commercial banks, proprietary trading, broker/dealer and affiliates. Indexed data is available upon request.

The currencies covered in this report are:

- **G10:** USD, EUR, JPY, AUD, NZD, CAD, GBP, CHF, NOK, SEK
- **LatAm:** BRL, MXN, CLP, COP, PEN, ARS
- **ASIA:** CNH, CNY, INR, KRW, IDR, MYR, SGD, TWD, THB
- **EMEA:** TRY, HUF, PLN, ILS, CZK, ZAR

Emerging Markets is defined as the sum of LatAm, Asia and EMEA.

Public/Official: Central Banks, Government – including federal, state and local municipality clients – and Sovereign Wealth Funds.

Real Money: Pension Funds, REITs, Small Institutions/Trusts, Insurance, Asset Management and Finance Companies. RM clients will often trade FX to facilitate transactions in Fixed Income or Equities rather than to take a view on FX itself.

Hedge Funds: Usually limited-partnership funds with diverse, often leveraged strategies designed to maximize returns. HF flow is speculative in nature, with many HF trading FX as an asset class.

Corporates: Businesses across all industries whose investment efforts focus mostly on operative activities, such as hedging and M&A. Corporate FX flow is not speculative in nature, but arises as a 'by-product' of normal business operations.

EPFR GLOBAL data on country flows combine the respective fund flow and country weightings data to track the flow of money into world stock and bond markets. Fund flow reports track the amount of cash flowing into and out of the investment funds monitored world-wide. Country weightings reports track fund manager allocations at month-end across the various markets they invest in. By combining these two data sets we are able to estimate the flow of cash into and out of various stock and bond markets.

Note on Aggregate Positioning

We calculate aggregate positioning using a number of inputs:

(i) Proprietary BofA Securities FX flows data for hedge funds and real money

(ii) Futures data, using the TFF (Traders in Financial Futures) data for leveraged funds and asset managers separately

(iii) BofA Global Research FXRS: FX and Rates Sentiment Survey data

(iv) Options data, using the SDR (Swap Data Repository) data

The signals except those based on FX options (SDR) data are considered relative to the start of 2012 (i.e. an expanding window). The signal based on FX options (SDR) data is relative to the start of 2018. Each signal is scaled to be between +50 and -50. +50 (-50) represents max long (short) positioning relative to history. The aggregate signal is the simple (unweighted) average of all available inputs.

More details about the LCBF report are available in the LCBF primer 15 Apr 2024

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